

Industrial Enterprises Development Institute Act, 1996

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Industrial Business Development Institute Act, 2053 (1996)

Royal Seal and Publication Date

2043.7.19

Amending Acts

1. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009) 2066.1.07
2. Industrial Business Development Institute Act (First Amendment) Act, 2076 (2019) 2076.12.07

Act Number 3 of the year 2043 (1986)

An Act Made to Provide for the Industrial Business Development Institute

Preamble: Whereas, it is desirable to develop industrial business by strengthening the economy through the development of the industrial sector by fulfilling the need for entrepreneurship, quality management, technology, and technical manpower for the industrial development of the nation,

This Act is enacted by Parliament in the twenty-fifth year of the reign of His Majesty King Birendra Bir Bikram Shah Dev. Chapter - 1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Industrial Business Development Institute Act, 2043 (1986)."

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Institute" means the Institute established pursuant to Section 3.

(b) "Committee" means the Board of Directors constituted pursuant to Section 6.

(c) "Chairperson" means the Chairperson of the Committee.

(d) "Member" means a member of the Committee, and the term also denotes the Chairperson and Member-Secretary of the Committee.

(e) "Executive Director" means the Executive Director appointed pursuant to Section 9.

(f) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules or regulations made under this Act. Chapter - 2

Establishment and Management of the Institute

3. Establishment of the Institute: (1) An Institute named "Industrial Business Development Institute" is established for the development of industrial business.

(2) The central office of the Institute shall be located in the Kathmandu Valley, and the Institute may open its centers, sub-centers, branches, and sub-branch offices in any place within Nepal repealed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. as required. 4. Institute to be an Autonomous Body: (1) The Institute shall be an autonomous and corporate body with perpetual succession.

(2) The Institute shall have its own separate seal for its business.

(3) The Institute may, like a person, acquire, use, sell, or otherwise dispose of movable and immovable property.

(4) The Institute may, like a person, sue and be sued in its own name. 5.

Objectives of the Institute: The objectives of the Institute shall be as follows:- (a) To provide services such as trainer training, quality management, feasibility study, and consultancy services based on the demand of those organizations to assist in the manpower development activities of associations and organizations involved in the development of industries and businesses. (b) To conduct action-oriented research as necessary to provide quality services for the development of industries and businesses. (c) To conduct necessary programs for the development of knowledge and skills related to technical, entrepreneurship, and management in the industrial and business sector as a service-oriented organization. (d) To emphasize the feasibility study, research, and development of industries and businesses based on domestic raw materials or domestic and foreign raw materials. (e) Repealed by the First Amendment.? Chapter - 3 Constitution, Functions, Duties, and Powers of the Committee 6. Constitution of the Committee: (1) A Board of Directors shall be constituted for the systematic operation of programs necessary for achieving the objectives of the Institute and for the supervision and management of all business of the Institute. (2) Except as otherwise provided elsewhere in this Act, the Committee shall, subject to this Act or the rules and regulations made under this Act, exercise all powers and perform all duties vested in the Institute. (3) The Committee shall consist of the following members:- (a) Amended by the First Amendment.Secretary, Ministry of Industry, Commerce and Supplies ? Chairperson (b) Amended by the First Amendment.Joint Secretary, Ministry of Industry, Commerce and Supplies ? Member (c) Amended by the First Amendment.Joint Secretary, Ministry of Finance ? Member (d) President, Federation of Nepalese Chambers of Commerce and Industry ? Member (e) Amended by the First Amendment.President, Federation of Cottage and Small Industries ? Member (f) Amended by the First Amendment.*Two management experts, including one woman, nominated by the Ministry ? Member (g) One person from among entrepreneurs of the private sector nominated by the Committee ? Member (h) One environmentalist nominated by the Committee ? Member (i) Executive Director ? Member-Secretary (4) The term of office of nominated members shall be two years, and they may be renominated after the expiry of their term. (5) The Committee may, if it deems necessary, invite any domestic or foreign expert, advisor, or distinguished person related to industrial business to participate as an observer in the meeting of the Committee. 7. Meetings and Decisions of the Committee: (1) The meeting of the Committee shall be held on the date, time, and place specified by the Chairperson.

Provided that the meeting of the Committee shall be held at least four times a year. (2) If one-third of the members of the Committee make a written request for a meeting of the Committee, the Member-Secretary of the Committee shall, with the approval of the Chairperson, convene the meeting. (3) The Member-Secretary of the Committee shall provide the members with the notice of the meeting along with the agenda for discussion in the meeting. (4) The Chairperson shall preside over the meeting, and in the absence of the Chairperson, a member chosen by the members from among themselves shall preside over the meeting. (5) If fifty percent of the total number of members of the Committee are present, it shall be deemed to constitute

a quorum for the meeting. (6) The majority opinion shall prevail in the meeting of the Committee, and in the case of a tie, the person presiding over the meeting shall have a casting vote. (7) The decision of the Committee shall be certified by the Member-Secretary of the Committee. (8) Other procedures relating to the meeting shall be as determined by the Committee itself. 8.

Functions, Duties, and Powers of the Committee: The functions, duties, and powers of the Committee shall be as follows:- (a) Repealed by the First Amendment.? (b) Repealed by the First Amendment.? (c) To conduct activities relating to technical and business information and technology transfer, (d) To conduct programs such as entrepreneurship, management development, and technical and skill development trainer training, (e) Repealed by the First Amendment.? (f) To conduct various types of industry-related research, training, studies, seminars, surveys, exhibitions, workshops, symposiums, etc., by the Institute itself or through the participation of other organizations, (g) To prepare curricula and guidelines necessary for industrial business development, to create and implement result-oriented programs for training and trainees, and to evaluate and monitor the effectiveness of such programs, (h) To make available cash, kind, or other assistance from the Government of Nepal or a foreign government or a national or international association, organization, agency, or person for the development of industrial business, Provided that while taking cash, kind, or other assistance from a foreign government or an international association, organization, agency, or person situated abroad, prior approval of the Government of Nepal shall be obtained, (i) To levy fees in full or in part commensurate with the cost of the program depending on the economic condition of the target group in the programs of the Institute, and (j) To perform other functions necessary for achieving the objectives of the Institute. Chapter - 4 Provisions Relating to the Executive Director and Employees 9. Appointment of Executive Director: (1) The Committee shall appoint, on a competitive basis, an Executive Director Amended by the First Amendment.who has obtained at least a master's degree in any subject from a recognized university and has expertise in the field of industry and business Added by the First Amendment. to act as the administrative chief of the Institute and to conduct its day-to-day business. (2) The term of office of the Executive Director shall be four years, and he/she may be reappointed for a maximum of another four years. (3) The remuneration, terms of service, and facilities of the Executive Director shall be as prescribed. 10.

Functions, Duties, and Powers of the Executive Director: (1) The functions, duties, and powers of the Executive Director shall be as follows:? (a) To implement and cause to implement the decisions and directives of the Committee, (b) To prepare the long-term and short-term plans, annual programs, and budget of the Institute, (c) To implement and cause to implement the plans and projects approved by the Committee, (d) To release the amount of the approved budget, (e) To perform other necessary functions in the capacity of the administrative chief of the Institute. (2) Besides those mentioned in sub-section (1), other functions, duties, and powers of the Executive Director shall be as prescribed. 11. Provisions Relating to Employees: (1) The Committee may, as required, appoint advisors, experts, trainers, officers, and assistant employees for the smooth operation of the work of the Institute. (2) The remuneration, facilities, and other terms of service of advisors, experts, trainers, officers, and assistant employees appointed pursuant to sub-section (1) shall be as prescribed. Chapter - 5 Fund and Audit 12. Fund of the Institute: (1) The Institute shall have its own separate fund. (2) The fund pursuant to sub-section (1) shall consist of the following amounts:? (a) Amount received from the Government of Nepal. (b) Assistance, grants, or loans received from a foreign government or a national or international association or organization. (c) Amount received as fees for consultancy, training, or other services provided by the Institute. (d) Donations, gifts, or presents received from domestic or foreign associations, organizations, or persons. (e) Amount received by the Institute from any other source. (3) All expenses incurred on behalf of the Institute shall be borne from the amount deposited in the fund pursuant to sub-section (1). (4) The operation of the fund of the Institute shall be as prescribed. 13. Accounts

and Audit: (1) The accounts of the income and expenditure of the Institute shall be maintained as prescribed. (2) The audit of the Institute shall be carried out by an auditor designated by the Auditor General. Chapter - 6 Miscellaneous 14. May Constitute Sub-Committees: (1) The Committee may constitute necessary sub-committees for the operation of its work. (2) The functions, duties, powers, and procedures of the sub-committees constituted pursuant to sub-section (1) shall be as prescribed by the Committee. 15. Annual Report: (1) The Executive Director shall submit the annual report of the Institute to the Committee within three months from the date of expiry of each fiscal year, and a copy of such report shall also be made available to the Government of Nepal. (2) The annual report of the Institute shall be published publicly each year. 16.

Delegation of Powers: (1) The Committee may, as necessary, delegate any or all of the powers vested in it to any sub-committee of members or any member of the Committee or the Executive Director. (2) The Executive Director may, as necessary, delegate all or some of the powers vested in him/her to any employee of the Institute. 17. Meeting Allowance: Members shall receive meeting allowance as prescribed for participating in the meeting of the Committee. 18. Contact with the Government of Nepal: While contacting the Government of Nepal, the Institute shall do so through Amended by the First Amendment.the Government of Nepal, Ministry of Industry, Commerce and Supplies. 19. May Make Rules and Regulations: (1) For the purpose of implementing the objectives of this Act, the Committee may make necessary rules, and such rules shall come into force after approval by the Government of Nepal. (2) The Institute may, for the operation of its work, subject to this Act and the rules made under this Act, make necessary regulations, and such regulations shall come into force after approval by the Committee. 20. Repeal and Saving: (1) The Industrial Business Development Committee (Constitution) Order, 2052 (1995) is hereby repealed, and all movable and immovable properties of the Committee constituted under that Order shall vest in the Institute. (2) Contracts, leases, and agreements entered into with the Committee constituted under the Constitution Order pursuant to sub-section (1) shall be deemed to have been entered into with the Institute, and all acts and actions performed by that Committee shall be deemed to have been performed by the Institute.